



Time: 5 minutes

Outcome: Classify labor-force status and calculate unemployment and participation rates.

Difficulty: Intermediate

Unemployment Measurement

THE CORE IDEA

Labor-force status depends on work, job attachment, availability, and active job search. Employed people include those working for pay or profit, those temporarily absent from a job, and qualifying unpaid family workers. Unemployed people have no job, are available, and actively searched in the past four weeks; people awaiting recall from temporary layoff need not search. Discouraged workers who have stopped searching are outside the labor force.

HOW TO RECOGNIZE IT

- Work for pay or profit during the reference week counts as employment, even if part-time.
- At least 15 hours of unpaid work in a family business also counts as employment.
- Labor force = employed + unemployed; unemployment rate = unemployed / labor force x 100.
- Participation rate = labor force / civilian noninstitutional population age 16 and older x 100.

WATCH OUT

Wanting a job alone does not make a person unemployed. Check job status, availability, and active search, including the temporary-layoff exception. Discouraged workers are outside the labor force.

WORKED EXAMPLE: CLASSIFYING LABOR-FORCE STATUS

Population age 16 and over: 100 people

	People
Employed	60
Unemployed	5
Outside labor force	35
Labor force	65

Among 100 people in the civilian noninstitutional population age 16 and older, 60 are employed, 5 are unemployed, and 35 are outside the labor force. Labor force = $60 + 5 = 65$. Unemployment rate = $5/65 \times 100 = 7.7\%$; participation rate = $65/100 \times 100 = 65\%$.

CHECK YOURSELF

Which two groups are added to calculate the labor force?